

Solid 1Q26; expecting sequential improvement ahead

Quick Note

1Q26: revenue +112% y-y and -26% q-q while GPM +11.4pp y-y and +1.5pp q-q; second consecutive quarter with non-GAAP profit achieved

NIO reported 1Q26 results on 21 May before US market open. The company delivered a revenue of CNY25.5bn, +112% y-y while -26% q-q, at the high-end of its original guidance and in line with market expectation. While vehicle shipments reached 83.5k, +98% y-y and -33% q-q (also at the high-end of its guidance), vehicle sales were at CNY22.8bn, +129% y-y and -28% q-q, as a result of an 8% q-q sequential increase in vehicle ASP due to the solid sales of ES8, which contributed 54% of total sales in 1Q26. NIO's GPM was at 19.0%, +11.4pp y-y and +1.5pp q-q, and its vehicle margin was at 18.8% in the quarter, +8.6pp y-y and +0.8pp q-q, again owing to both shipment growth and/or product mix improvement. Its OPM was at -1.2%, +52.1pp y-y and -3.5pp q-q, as a result of less favourable operating leverage during the weak auto season. As a result, NIO reported a net loss of CNY496mn in 1Q26, with the loss decreasing 93% y-y. Its non-GAAP net profit was at CNY43.5mn, as the company recorded a second consecutive quarter with non-GAAP profit.

On 2Q26 guidance, the company expects to deliver 110-115k units of sales, +53-60% y-y, also implying an average 41-43k sales into May/Jun-26. On top line, the company guided for a revenue range of CNY32.8-34.4bn in 2Q, potentially +72-81% y-y. With that, we estimate that the implied ASP per unit in 2Q26F would be around CNY267k, slightly down 2% q-q from 1Q26 ASP of 273k, considering more shipments may come from new models like Onvo L80 and ES9 in 2Q26.

While Onvo L80 is already launched, we believe the entire market would be tracking ES9's performance as the model would be launched next Wednesday (27 May). With a sustainable ES8 shipment/order situation, we believe NIO will need to have more in-demand models to further support its shipment, market share and margin profile. Considering a good feedback for its ES9 pre-order data, according to our industry survey, we remain positive on the name and expect NIO to deliver a sequential improvement in shipment and financials into following quarters in 2026. We maintain our Buy rating and DCF-based TP of USD8.6 for the share. The stock is currently trading at 2026F P/S of 0.7x.

Earnings call takeaways:

- With ES9 reaching stores, the company said that it has attracted more in-store visits in the past one month, therefore helping ES8 getting more orders. Management mentioned that in the first 20 days in May, its orders locked for ES8 reached the highest level for the same period since Oct-25.
- Looking at the GPM outlook for 2Q26 and entire 2026, management mentioned that the BOM (bill of materials) cost increase, including lithium price, memory, aluminium and copper (the impact of the increase to be CNY10k per vehicle) are not yet fully reflected in 1Q26 due to its inventory. Overall, the company continues to target for a 17-18% vehicle GPM for 2Q26 and full-year 2026. Meanwhile, NOI targets to maintain a 20% GPM for its business other than vehicle sales.
- For 2H26, NIO will release a five-seat version of ES8 and targets three-five new models each year in the next few years. The core strategy for NIO is to establish itself as a premium brand, targeting at becoming the next car after BBA (Benz, BMW and Audi) brands.

Rating Remains	Buy
Target price Remains	USD 8.60
Closing price 20 May 2026	USD 5.59

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- In terms of R&D cost, the company reiterated a CNY2.0-2.5bn quarterly expenditure. On SG&A expense, NIO maintained its target to control it at 10% of total sales for full-year 2026 while there could be fluctuations during quarters. As key new models releasing in 2Q26, management expects selling expense to grow evidently q-q. NIO maintained its guidance to achieve non-GAPP operating profit breakeven in 2026E.
- For its self-developed Shenji NX9031 chips, management targets for 80-85% penetration of it within its total shipment into 2H26.
- For its battery swap station, the company targets to build 1k new stations in 2026 while its third generation station will start to deploy from 3Q26.

Fig. 1: NIO - 1Q26 results review

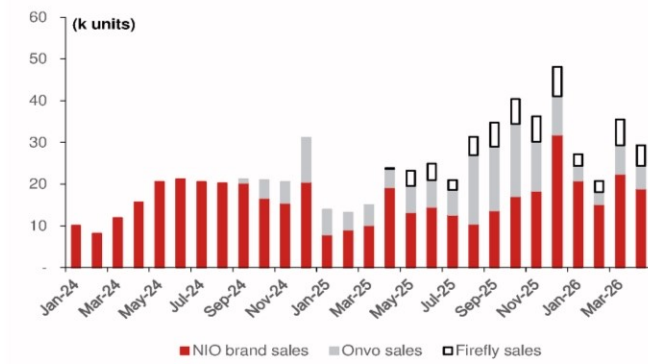
(CNY mn)		1Q25 A	2Q25 A	3Q25 A	4Q25 A	1Q26 A	% chg y-y	% chg q-q	2Q26 Guidance		2023 A	2024 A	2025 A
Total revenue		12,035	19,009	21,794	34,650	25,533	112%	-26%	32,777	34,436	55,618	65,732	87,488
	% y-y	21%	9%	17%	76%	112%			72.4%	81.2%	13%	18%	33%
Vehicle sales		9,939	16,136	19,202	31,606	22,784	129%	-28%			49,257	58,234	76,884
	% y-y	19%	3%	15%	81%	129%					8%	18%	32%
COGS		(11,115)	(17,111)	(18,769)	(28,576)	(20,674)	86%	-28%			(52,566)	(59,239)	(75,572)
	% y-y	18%	9%	13%	64%	86%					19%	13%	28%
Vehicle COGS		(8,926)	(14,473)	(16,379)	(25,893)	(18,491)	107%	-29%			(44,588)	(51,095)	(65,671)
	% y-y	17%	5%	13%	70%	107%					14%	15%	29%
Gross profit		920	1,898	3,025	6,074	4,859	428%	-20%			3,052	6,493	11,916
	% y-y	89%	12%	51%	163%	428%					-41%	113%	84%
Vehicle GP		1,014	1,663	2,824	5,713	4,292	323%	-25%			4,670	7,139	11,213
	% y-y	32%	-13%	29%	150%	323%					-25%	53%	57%
OPEX		(7,338)	(6,806)	(6,546)	(5,267)	(5,168)	-30%	-2%			(25,707)	(28,778)	(25,957)
SG&A		(4,401)	(3,965)	(4,185)	(3,537)	(3,497)	-21%	-1%			(12,885)	(15,741)	(16,088)
R&D expense		(3,181)	(3,007)	(2,391)	(2,026)	(1,885)	-41%	-7%			(13,431)	(13,037)	(10,605)
Operating profit		(6,418)	(4,909)	(3,522)	807	(309)	-95%	-138%			(22,655)	(22,286)	(14,041)
	% y-y	19%	-6%	-33%	-113%	-95%					45%	-2%	-37%
Interest and investment income		173	108	354	127	116					2,210	854	762
Interest expense		(245)	(213)	(223)	(205)	(214)					(404)	(798)	(885)
Pretax income		(6,745)	(4,952)	(3,423)	300	(320)	-95%	-207%			(20,459)	(22,425)	(14,821)
	% y-y	30%	-2%	-32%	-104%	-95%					42%	10%	-34%
Taxes		(5)	(43)	(57)	(17)	(12)					(261)	23	(122)
Net income		(6,891)	(5,141)	(3,661)	122	(496)	-93%	-505%			(21,147)	(22,658)	(15,571)
	% y-y	31%	0%	-29%	-102%	-93%					45%	7%	-31%
Ratio Analysis													
GPM		7.6%	10.0%	13.9%	17.5%	19.0%	11.4pp	1.5pp			5.5%	9.9%	13.6%
Vehicle GPM		10.2%	10.3%	14.7%	18.1%	18.8%	8.6pp	0.8pp			9.5%	12.3%	14.6%
OPEX		-61.0%	-35.8%	-30.0%	-15.2%	-20.2%	40.7pp	-5.0pp			-46.2%	-43.8%	-29.7%
OPM		-53.3%	-25.8%	-16.2%	2.3%	-1.2%	52.1pp	-3.5pp			-40.7%	-33.9%	-16.0%
NPM		-57.3%	-27.0%	-16.8%	0.4%	-1.9%	55.3pp	-2.3pp			-38.0%	-34.5%	-17.8%

Source: Company data, Nomura research

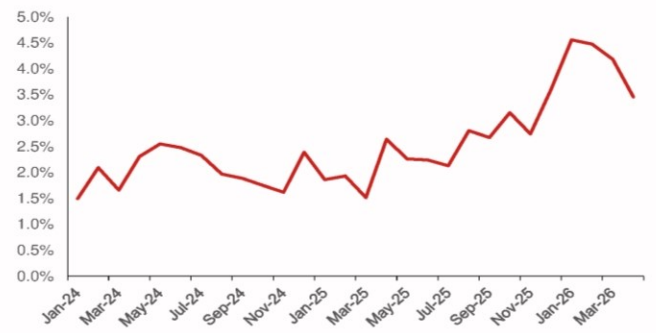
Fig. 2: NIO - quarterly shipment trend

		1Q25 A	2Q25 A	3Q25 A	4Q25 A	1Q26 A	% chg y-y	% chg q-q	2Q26 Guidance		2023 A	2024 A	2025 A
Total vehicle delivery		42,094	72,056	87,071	124,807	83,465	98%	-33%	110,000	115,000	160,038	221,970	326,028
	% y-y	40%	26%	41%	72%	98%			52.7%	59.6%	31%	39%	47%
ET series		11,658	21,961	19,600	16,278	7,804	-33%	-52%			67,852	84,681	69,497
	% y-y	-5%	-11%	-23%	-27%	-33%					94%	25%	-18%
ES series		10,924	18,434	13,231	48,177	49,256	351%	2%			77,201	86,437	90,766
	% y-y	-16%	-24%	-51%	118%	351%					9%	12%	5%
EC series		4,731	6,737	4,097	2,978	1,483	-69%	-50%			14,985	30,091	18,543
	% y-y	-2%	-19%	-52%	-65%	-69%					-12%	101%	-38%
Onvo		14,781	17,081	37,656	38,290	13,339	-10%	-65%				20,761	107,808
	% y-y			4426%	92%	-10%							419%
Firefly		-	7,843	12,487	19,084	11,583	n.a.	-39%					39,414
	% y-y												

Source: Company data, CAAM, Nomura research

Fig. 3: NIO – monthly sales by sub brands

Source: Company data, CAAM, Nomura research

Fig. 4: NIO - EV market share trend in China

Source: Company data, CPCA, Nomura research

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
NIO Inc	NIO US	USD 5.59	20-May-2026	Buy	N/A	

NIO Inc (NIO US)

USD 5.59 (20-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of USD8.60 is based on DCF valuation method. Our DCF valuation assumes a WACC of 9.8%, market risk premium of 10.1% and terminal growth rate of 1.5% while we discounted back cash flow to 2026 as a 12 months forward valuation. Our TP implies 1.1x 2026F P/S. The benchmark index for this stock is the NASDAQ Composite Index.

Risks that may impede the achievement of the target price Downside risks include: 1) failure to ramp up production capacity meeting its rising demand; 2) fail to gain further market share from new models; 3) less than expected opex improvement lead to more pressure on its financials.

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As at 31 March 2026.

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